## 1.8 CASE STUDY

# Uber:

## Everything on Demand

If you were asked to pick iconic examples of e-commerce through the years since it began, it is likely that companies such as Amazon, Google, Apple, Facebook, and Netflix would be high on your list. But during the last decade or so, a different breed of e-commerce company, focused on the provision of on-demand services, has muscled its way into the mix.

Uber is perhaps the most well-known company that uses the on-demand service model. Uber's business model differs from traditional retail e-commerce business models. Uber doesn't sell goods. Instead, it created a smartphone app/Internet cloud-based platform that enables people who want taxi services—like hailing a taxi—to find a provider with the resources, such as a personal automobile and a driver with available time, to fill the demand. It's important to understand that although Uber and similar firms are often called "sharing economy" companies, this is a misnomer. Uber drivers are selling their services as drivers and the temporary use of their cars. Uber itself is not in the sharing business, either: It charges a 20% commission on every transaction on its platform. Uber is also not an example of true "peer-to-peer" e-commerce because Uber transactions involve an online intermediary: a third party that provides a platform for, and takes a cut of, all transactions.




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Uber offers a compelling value proposition for both customers and drivers. Customers can download the Uber app for free. There is also a specialized app for drivers. To find a ride, the customer opens the app and enters a destination. The app shows an estimated, upfront price for the ride as well as options for vehicle size and estimated drop-off time. The customer then chooses the desired options and confirms the trip. Nearby drivers get an in-app notification on their Driver app and can choose whether to accept the ride request. The customer is automatically notified when the driver's vehicle is about a minute away, thus eliminating the need to stand on a street corner frantically waving, competing with others, or waiting endlessly for an available cab to drive by without knowing when that might happen. Uber provides a variety of payment options, including a stored credit or debit card, Uber Cash (a stored payment method), Apple Pay, Google Pay, PayPal, Venmo, and, in some areas, even cash. At the end of each ride, drivers and riders review the ride based on a five-star rating system. Drivers that fall below a certain rating (4.6/4.5) are warned that they may be dropped if they don't improve. Customers that have high ratings are likely to be prioritized by drivers, who can also refuse to pick up customers with low ratings. Uber's value proposition for drivers is that it allows them to set their own hours, work when they like, and put their own cars to use generating revenue. Today Uber operates in around 10,000 cities in 72 countries around the world, with an estimated 4 million drivers and around 115 million riders per month.

Uber has disrupted the traditional taxi business model because it offers a superior, fast, convenient taxi-hailing service when compared to what traditional taxi companies provide. With a traditional taxi service, there is no guarantee that you will find a cab. Uber significantly reduces that uncertainty, although consumers can still sometimes be impacted by availability issues: During a rainstorm, a convention, or a sports event, when demand peaks, not enough drivers may be available at any price. Uber also charges prices that vary dynamically with demand: the higher the demand, the greater the price of a ride. Therefore, it is impossible using public information to know if Uber's prices are lower than traditional taxi prices. Clearly, in high-demand situations Uber's prices are higher, sometimes 10 times higher, than a regulated taxi's prices. However, there is no regulatory taxi commission setting uniform, per-mile fares.

Uber's business model is also much more efficient than a traditional taxi firm's. Uber has shifted the costs of running a taxi service entirely to the drivers. Uber does not own taxis and does not provide fuel, insurance, or maintenance for its drivers' cars, something that became increasingly problematic in 2022 as fuel prices dramatically escalated. Although Uber began adding a fuel surcharge in March 2022 of between 35 to 55 cents per ride or delivery, drivers said that it was far from adequate. Drivers must also use their own smartphones and cell service. Uber classifies its drivers as independent contractors (often referred to as "gig workers"), not as employees; and rather than paying them a salary, Uber gives drivers a cut of each fare. Doing so enables Uber to avoid costs for social security, workers' compensation, minimum wage requirements, driver training, health insurance, and commercial licensing.

If Uber is the poster child for the on-demand service economy, it's also an iconic example of the social costs and conflicts associated with this kind of e-commerce. The classification of its drivers as independent contractors, which significantly reduces Uber's costs, is currently being challenged in courts, by legislators, and by government agencies in the United States and around the world. Uber is apparently so desperate to

maintain this classification of its drivers that it is backing bills that would classify its drivers as independent contractors in exchange for agreeing not to try to block their efforts to unionize. Uber has also been the target of numerous lawsuits filed on behalf of its drivers, accusing the company of mistreatment, lack of due process, underpayment, and violation of state employment laws.

Even governments find Uber to be a disruptive threat. Governments do not want to give up regulatory control over passenger safety, driver training, or the healthy revenue stream generated by charging taxi firms for a taxi license and sales taxes. Uber has been accused of violating public transportation laws and regulations throughout the world; abusing the personal information it has collected on users of the service; seeking to use personal information to intimidate journalists; failing to protect public safety by refusing to do adequate criminal, medical, and financial background checks on its drivers; taking clandestine actions against its chief U.S.-based competitor, Lyft, in order to disrupt its business; and being tone-deaf to the complaints of its own drivers against the firm's efforts to reduce driver fees. Uber has been banned in several European cities. For instance, in London, Transport for London, the regulatory body that governs taxi services in London, has repeatedly tried to revoke Uber's license to operate, based on concerns about user safety. Currently, Uber is operating under a 30-month license, after adding a number of safety features, such as an in-app panic button. More significantly, the Court of Justice of the European Union, the European Union's most powerful court, has ruled that Uber should be treated as a transportation service—and be subject to all of the existing laws and regulations that apply to such services in the EU member countries in which it operates—rather than as a digital platform not subject to such laws and regulations, as Uber had been attempting to assert.

Critics also fear the long-term impact of on-demand service firms because of their potential for creating a society of part-time, low-paid, temp work displacing traditionally full-time, secure jobs—the so-called "uberization" of work. As one critic put it, Uber is not the Uber for rides as much as it is the Uber for low-paid jobs. A study by the MIT Center for Energy and Environmental Policy Research found that after taking into account costs such as fuel, insurance, maintenance, and repairs, Uber drivers earn less than the minimum wage. Uber contends that it is lowering the cost of transportation, making better use of spare human and financial resources, expanding the demand for ride services, and expanding opportunities for car drivers, whose pay it claims is about the same as that of other taxi drivers. Uber has also taken some remediating steps. It enhanced its app to make it easier for drivers to take breaks while they are on the job. Drivers can now also be paid instantly for each ride they complete rather than weekly and see on the app's dashboard how much they have earned. In addition, Uber added an option to its app that allows passengers to tip its U.S. drivers.

Over the last several years, Uber has been hit by a series of continuing controversies and scandals, creating a public relations nightmare for the company and culminating in the resignation of a number of board members, senior executives, and finally its co-founder and CEO, Travis Kalanick. It was charged with corporate mismanagement and misconduct (including using a secret program known as Greyball to track and evade regulators and other law enforcement officials), workplace discrimination and sexual harassment, and violation of the privacy of its customers by using its mobile app to track the location of those customers at all times, even when the app was not in use.

In December 2021, its former chief security officer was charged with wire fraud in addition to a previous obstruction of justice charge related to his role in an alleged cover-up of a data breach at Uber that exposed approximately 57 million user and driver records. In July 2022, the *Washington Post* announced its participation in an international journalistic investigation into Uber's alleged use of stealth technology to thwart regulators and law enforcement in order to assist its expansion throughout the world. The project is based on more than 124,000 e-mails, text messages, memos, and other records. In a statement in response to the investigation, Uber admitted to "mistakes and missteps," but said it had been transformed under the leadership of its current chief executive, Dara Khosrowshahi.

Despite the controversy surrounding it, Uber continues to attract drivers, customers, and additional investors. In 2019, Uber went public, raising more than $8 billion at a valuation of about $82 billion, which although a staggering amount, was well below the $120 billion value initially floated by its investment bankers. During 2019, Uber's stock price declined significantly, losing almost half its value since the IPO. Then came the Covid-19 pandemic, which had an adverse impact on Uber's business, drastically reducing the demand for ride services. In 2021, it recorded an operating loss of $3.8 billion, and its accumulated deficit rose to an astounding $23.6 billion. It also experienced a shortage of drivers as a result of the pandemic.

Although Uber began business solely as an alternative to traditional taxis, it has expanded its horizons to envisioning itself as a platform for a variety of different services associated with the movement of people and things from one point to another. While its flagship offering is still what it refers to as mobility services that provide rides for consumers in a variety of vehicles, it now also is almost as equally focused on restaurant food delivery services (Uber Eats) and freight services (Uber Freight). It sees itself as the "Amazon" of transportation, with the potential to become the dominant force in all forms of transportation. But Uber faces significant challenges in each of these areas.

In the wake of the pandemic, Uber turned to Uber Eats, its online food-ordering and delivery service, which became much more in demand. In December 2020, after an attempt to acquire food delivery service Grubhub failed to come to fruition, Uber instead acquired competitor Postmates for $2.65 billion. It had previously acquired Careem, a rival in the Middle East, for $31 billion. Uber faces stiff competition in the delivery business, including from DoorDash, Deliveroo, Instacart, Grubhub, and many others. In a sign that Uber may be finding it hard to let go of its dreams of dominating all sorts of transportation-related services, it has announced a variety of new features for Uber Eats that expand its core value proposition. For instance, it has partnered with a direct-to-consumer telehealth company to deliver health and wellness products in 12 markets across the United States via the Uber Eats app. It has also teamed up with digital pharmacy startups to deliver prescription medications. In May 2022, it announced an expansion of its partnerships with Albertsons to include grocery delivery for more than 2,000 Albertsons stores.

One of Uber's newer lines of business is its Uber Freight segment, which it launched in 2017. Uber is aiming to revolutionize the logistics industry in much the same way it revolutionized the ride-hailing business: by providing an on-demand platform to automate logistics transactions. The platform connects shippers with carriers and gives shippers

**SOURCES:** "Form 10-K for the Fiscal Year Ended December 31, 2021, Uber Technologies, Inc., Sec.gov, February 21, 2023; "About the Uber Files Investigation," by *Washington Post* Staff, Washingtonpost.com, July 11, 2022; "'We Will Not Make Excuses': Uber Responds to Uber Files Leak," Theguardian.com, July 10, 2022; "Uber Granted 30-Month License to Continue Operating in London," by Emma Roth, Theverge.com, March 26, 2022; "Uber Drivers Are Slamming the Company's Fuel Surcharge as 'Woefully Inadequate,'" by Gabrielle Bienasz, Businessinsider.com, March 16, 2022; "Gig Worker-focused Business Models Face a Host of Challenges," by Zak Stambor, Insider Intelligence/eMarketer, March 9, 2022; "Form 10-K for the Fiscal Year Ended December 31, 2021," Uber Technologies, Inc., Sec.gov, February 24, 2022; "Former Uber Security Officer to Face Wire Fraud Charges," by Rhea Patel, Justice.gov, December 22, 2021; "Uber Acquires Food Delivery Service Postmates for $2.65B" by Stephanie Mlot, Pcmag.com, July 6, 2020; "Uber Unveils New Safety Features amid Scathing Report," Cbsnews.com, September 26, 2019; "Culture Crossover: Uber Impact: The Cost and Disruption and Monopoly," by Somrata Sarkar, Techworld.com, May 17, 2019; "How the Promise of a $120 Billion Uber IPO Evaporated," by Mike Isaac, Michael J. de la Merced, and Andrew Ross Sorkin, *New York Times*, May 15, 2019; Eliot Brown, "Uber Wants to Be the Uber of Everything—But Can It Make a Profit?" *Wall Street Journal*, May 4, 2019; "MIT Study Shows How Much Driving for Uber or Lyft Sucks," by Natasha Lomas, Yahoo.com, March 2, 2018; "Uber Dealt Setback after European Court Rules It Is a Taxi Service," by Liz Alderman, *New York Times*, December 20, 2017; "Here's All the Shady Stuff Uber's Been Accused of So Far," by Joe McGauley, Thrillist.com, March 7, 2017; "An Uber Shakedown," *Wall Street Journal*, April 24, 2016;

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upfront, transparent pricing; the ability to book a shipment with just a few clicks; and the ability to track shipments in real time from pickup to delivery. To date, Uber has invested heavily in its Uber Freight segment, and in 2021, it acquired Transplace, a managed transportation and logistics network, for $2.25 billion. Like Uber's other lines of business, Uber Freight's revenue is growing, particularly as a result of its acquisition of Transplace, but it is still operating at a loss. Uber Freight also faces significant competition from a number of already-entrenched global and North American freight brokers.

In February 2023, Uber released its financial results for 2022. It was in many senses a promising report, as revenue for all of its segments grew by more than 80% compared to 2021, to $31.8 billion. But it once again recorded a loss from operations. Will Uber ever be able to consistently turn a profit?

### Case Study Questions

1. How does an on-demand services business model such as Uber's differ from a retail e-commerce business model?
2. What ethical and social issues are raised by Uber and its business model?
3. What unique features of e-commerce technology does Uber's business model rely on?

